

JSL Store — Business Health Check

A deep read of 10 months of sales and the current stock — how much the store really earns, where the profit leaks, and what to fix. Covers all 16 measures you asked for.

 Sales: Sep 2025 – Jun 2026 (10 months)

 Stock as on: 30 Jun 2026

 6,640 bills · 24,462 pieces · ₹2.98 Cr

 16 staff · 2,561 known customers

THE HEADLINE

A busy store that sells a lot — but keeps almost no profit

In 10 months the store sold **₹2.98 crore**. After the cost of goods and running costs, it kept only about **₹13 lakh — roughly 4%**. The reason is not selling; it is **discounting and buying**. One month (January) **lost ₹9 lakh** by selling below cost in a deep clearance, and the store's **biggest-selling brands make almost no money** after their discounts. Fix the discounting and the buying, and the same sales can earn many times more.

NET SALES · 10 MONTHS ₹2.98 Cr ≈ ₹3.6 Cr a year · 6,640 bills	NET PROFIT KEPT ₹13 L Only ~4% of sales	AVERAGE MARGIN 23% Would be ~36% without discounts
AVERAGE BILL ₹4,494 3.7 pieces per bill	STOCK VS SALES SPEED 0.7x Stock takes ~17 months to sell	REPEAT CUSTOMERS 37% Drive 63% of tracked sales

The one-line story: the store earns a healthy **36% margin at full price**, but heavy discounting pulls it down to **23%**, and after rent, power and staff there is almost nothing left. **The profit is being given away at the till and tied up in slow stock — not lost at the cash counter.**

WHAT'S COVERED

- 1 · Staff productivity → §6

2 · Average bill value → §6

3 · Repeat / new customers → §6

4 · Month-on-month P&L → §2
- 9 · Out-of-stock items → §5

10 · Item-wise → §4

11 · Gender-wise → §4

12 · Top 20 brands → §3

5 · Dead stock → §5

6 · Fast-moving stock → §5

7 · Stock turnover → §5

8 · Ageing → §5

13 · Size analysis → §4

14 · Accessories → §4

15 · Discount → §2

16 · Margin → §2 & §3

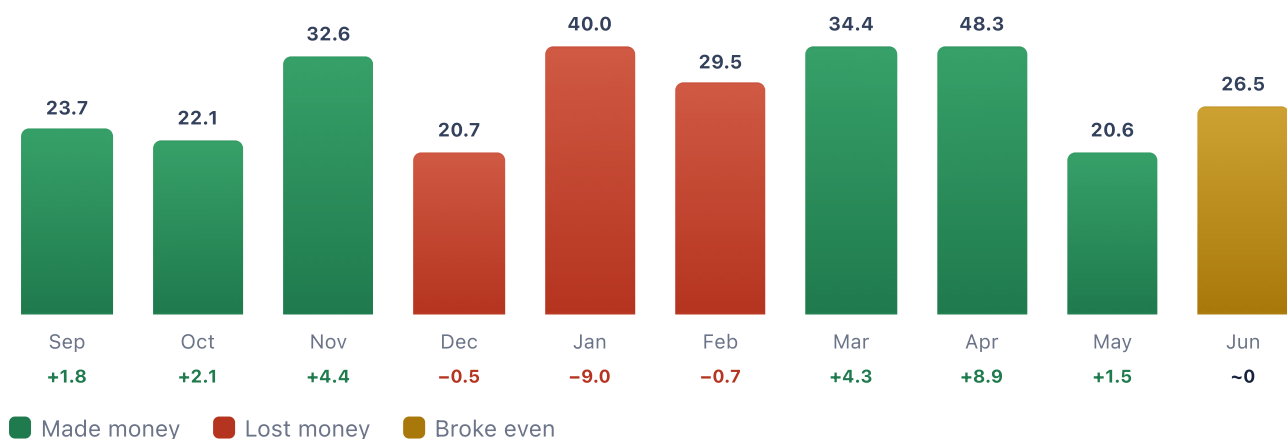
1 · SALES THROUGH THE YEAR

Strong festive and wedding months — but January is a profit trap

The store runs at roughly **₹20–48 lakh a month**. The big months are **November** (festive), **March–April** (wedding & new season) and **January**. But look at the colours below: **January was the second-biggest sales month and still lost money**, because almost everything was sold at 40% off.

Monthly net sales (₹ lakh) — green = profit month, red = loss month

Bar height = sales. Colour = did the month make or lose money after all costs. The small number below each bar is the profit/loss.



The whole year's profit is made in 4–5 good months and then mostly given back in the Dec–Feb clearance. April alone made ₹8.9 lakh; January alone lost ₹9 lakh. If January's discount had been kept sensible, the store's profit would have more than doubled.

2 · THE MONEY — PROFIT, DISCOUNT & MARGIN (#4, #15, #16)

Discount is eating the profit — and past 36% off, the store sells at a loss

Every item is bought at about **64% of its tag price** — so at full price the margin is **~36%**. The moment a discount crosses **36%**, the item is sold **below cost**. In January the average discount was 40% — so the more it sold, the more it lost.

Month-by-month profit & loss (₹ lakh)

Cost of goods is estimated from the stock file (every sold item was matched to its cost). Running cost = 7% of sales + rent ₹2.2 L + electricity ₹1.0 L + misc ₹0.4 L per month, as you gave.

MONTH	NET SALES	DISCOUNT	COST OF GOODS	GROSS PROFIT	RUNNING COST	PROFIT / LOSS
Sep 25	23.7	9%	16.7	7.0	5.3	+1.8
Oct 25	22.1	5%	14.8	7.2	5.1	+2.1
Nov 25	32.6	9%	22.3	10.3	5.9	+4.4
Dec 25	20.7	20%	16.1	4.6	5.0	-0.5
Jan 26	40.0	40%	42.7	-2.6	6.4	-9.0
Feb 26	29.5	23%	24.5	5.0	5.7	-0.7
Mar 26	34.4	9%	24.1	10.3	6.0	+4.3
Apr 26	48.3	6%	32.5	15.9	7.0	+8.9
May 26	20.6	7%	14.1	6.5	5.0	+1.5
Jun 26	26.5	18%	20.9	5.6	5.5	~0
10 months	298	17%	229	70	57	+13

The 36% rule. Because goods cost ~64% of the tag, any discount above **36%** sells below cost. Set 36% as a hard ceiling for normal selling — go beyond it only for genuine dead stock you have decided to dump, and know you are paying to remove it.

What discount cost the store: over 10 months, **₹61 lakh** was given away in discount — almost the same as the entire gross profit of ₹70 lakh. Pulling the average discount down by even **5 points** is worth roughly **₹15 lakh a year**, straight to profit.

3 · BRANDS (#12, #16)

The biggest-selling brands are the worst earners

This is the most surprising finding. The famous men's brands bring the most sales — but after their heavy discounts they make **almost no profit, and some sell at a loss**. The quiet Indian-wear and value brands make **35–41% margin** at near-full price. The store's money is tied up in the wrong brands.

TOP 20 BRANDS (BY SALES)	PIECES	SALES ₹L	DISCOUNT	MARGIN	STOCK ₹L	VERDICT
U.S. Polo	690	17.7	26%	11%	16.4	Big, thin profit
Allen Solly	1,015	16.9	33%	3%	23.0	Big, no profit
Van Heusen	685	15.7	28%	9%	32.2	Most stock, thin profit
Louis Philippe	553	14.3	30%	5%	20.8	Big, no profit
Killer	705	12.6	34%	-2%	14.9	Selling at a loss
Levis	423	9.5	35%	-1%	15.7	Selling at a loss
FW	307	6.8	5%	34%	4.8	Star — grow it
Arrow	337	6.8	29%	1%	22.4	Big stock, no profit
Mufti	286	6.0	36%	-5%	8.4	Selling at a loss
Jay Ambey	127	5.9	5%	41%	3.8	Star — grow it
Plazer	191	5.3	4%	39%	2.9	Star — grow it
Yes Mam	179	4.8	4%	36%	4.0	Star — grow it
Peter England	258	4.8	30%	7%	14.0	Thin profit
Citrus	314	3.9	3%	28%	6.2	Healthy
Jockey	861	3.3	9%	23%	3.6	Footfall + profit

Brand names were merged where the same brand appears under codes (LP/LY/LR = Louis Philippe, VH/VS/VD = Van Heusen, etc.). Margin is after discount, using each item's cost from the stock file.

The lesson: the store does not have a sales problem — it has a **profit-mix problem**. Stars like **FW, Jay Ambey, Plazer, Yes Mam, Citrus and Jockey** earn 23–41% on small stock. The big western brands earn near zero on huge stock. **Buy the western brands more tightly (and discount them less); give the high-margin brands more space and stock.**

4 • WHAT SELLS (#10, #11, #13, #14)

Indian wear is the profit engine; men's western is the volume engine

By section, sales are split **Men 47% • Women 44% • Kids 9%**. The same split as the brands shows up in the products: Indian wear sells at near-full price; men's western sells on discount.

TOP ITEMS (10 MONTHS)	PIECES	SALES ₹L	AVG PRICE	DISCOUNT	READ
Saree	2,070	46.5	₹2,247	5%	Top seller · full price
Shirt	2,076	36.1	₹1,739	25%	High volume · discounted
Jeans	1,628	33.0	₹2,028	28%	High volume · discounted
Kurti set	1,413	30.5	₹2,157	6%	Full price
T-shirt	1,488	16.3	₹1,098	21%	Discounted
Trouser	795	14.4	₹1,815	27%	Discounted
Suit (formal)	225	13.9	₹6,194	9%	High ticket
Jacket	513	13.6	₹2,644	34%	Winter · deep discount
Salwar suit	355	9.1	₹2,565	4%	Full price
Lehenga	94	7.7	₹8,238	5%	Wedding · high ticket

Sizes — which move fastest (#13)

- **Men:** M, L, XL and waist 32–34 / collar 39–40 are the core. Stock is a bit heavy on L and XL — buy those a little tighter.
- **Women:** mostly **Free Size** (sarees, dupattas), then **L is the fastest-selling size of all**. **XXL is slow** — buy very few.
- **Kids (boys):** ages 8–14 are the core.
- **Kids (girls):** Free size and 24–36.

Accessories (#14)

Accessories sold **₹8.9 lakh** (10 months) on **₹6.7 lakh** of stock — a healthy add-on business. Best movers: **stoles, dupattas, belts, shawls, ladies purses, safa** (and winter caps/mufflers in season). **Backpacks are overstocked** (more stock than 10 months of sales). Push accessories at the counter — they lift the bill with little risk.

5 · STOCK HEALTH (#5, #6, #7, #8, #9)

Too much stock, turning too slowly — and the wrong items

The store holds **₹4.0 crore of stock** (₹6.3 crore at tag price). At the current selling speed that is about **17 months** of stock — a healthy clothes shop carries 3–4 months. Worse, only **19% of the stock value** is in styles that have sold even once; the rest is unproven.

STOCK TURNOVER (#7)

0.7x/yr

~17 months to sell · target 3–4x

AGING STOCK, 6 MO+ (#5, #8)

₹1.28 Cr

Not sold in 6–10 months

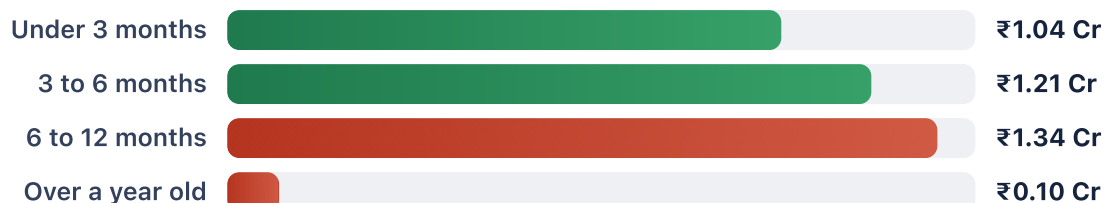
OUT OF STOCK ON FAST ITEMS (#9)

1,184

Items that sold recently, now at zero

Stock by age (₹ crore, at cost) (#8)

Green = fresh, give it time. Red = old, clear it.



Where the slow money sits (#5 dead)

Stock not sold in the last 10 months, by item (older than 6 months):

- **Shirts ₹60 L · Jeans ₹51 L · T-shirts ₹35 L · Trousers ₹27 L**
- **Suits ₹24 L · Blazers ₹13 L** (big/formal sizes get stuck)
- Men's western is most of the slow stock — the same brands that sell at a loss.

The real problem: wrong mix (#6, #9)

The store is **overstocked overall yet out of stock on 1,184 fast items** — mostly t-shirts, shirts, jeans, kurti sets and tops that sold in May–June and are now at zero. Money is locked in slow styles while the fast ones run dry. **This is a buying-and-replenishment problem, not a quantity problem.**

6 · CUSTOMERS & STAFF (#1, #2, #3)

A loyal base half-captured, and a big staff gap on holding price

AVERAGE BILL (#2)

₹4,494

3.7 pieces per bill

REPEAT CUSTOMERS (#3)

37%

Drive 63% of tracked sales

BILLS WITH A PHONE NUMBER

67%

1 in 3 customers not captured

Customers (#3): 2,561 customers are known by phone, and the top 5% alone bring **26% of sales**. But **only 67% of bills capture a phone number** — a third of customers can't be reached. Fixing capture to near-100%, then sending simple WhatsApp reminders to repeat and lapsed customers, is a near-free way to lift footfall. (*A true "conversion rate" needs a footfall counter at the door — see §7.*)

Staff — sales and price held (#1)

Top sellers are strong, but notice the **last column**: some staff hold **90%+ of the tag price**, others only **75%**. Part of this is the section they work (Indian wear holds price; men's western is discounted), but it is also a coaching gap worth real money.

SALESPERSON	SALES ₹L	BILLS	AVG BILL	PRICE HELD
Punam Kumari	31.8	755	₹4,207	94%
Sunny Sonar	29.0	831	₹3,489	75%
Niraj Rajak	26.3	623	₹4,229	75%
Anjali Kumari	23.8	781	₹3,047	91%
Dilip Rajwar	23.2	656	₹3,542	78%
Ruby Kumari	22.0	709	₹3,102	93%
Prity Kumari	20.3	819	₹2,483	92%

16 staff in total. Measure each person on **price held**, not just sales value, and coach the 75% group toward the 90% group. (*Sales-per-hour or target-vs-actual isn't possible — the data has no attendance/targets.*)

7 • WHAT WE COULD NOT MEASURE — AND WHY

Being straight about the limits

- **True conversion rate (part of #3) — not possible.** "Conversion" means sales ÷ people who walked in. There is no footfall/door-counter data in any file, so we can only show **repeat vs new customers**, not a conversion rate. A simple entry counter would unlock this.
- **Profit figures are close estimates, not audited.** The sales files have no cost column, so cost of goods is taken from the stock file (every sold item was matched to its cost — a 100% match, so it is reliable, but still an estimate). Running cost uses the formula you gave (7% of sales + rent ₹2.2 L + power ₹1.0 L + misc ₹0.4 L). If the real 7% / fixed costs differ, the profit will shift — but the **pattern** (good months vs the January loss) holds.
- **Only 10 months, starting September 2025.** The data begins when billing started, so there is no Apr–Aug 2025 to compare, and "dead stock" is "not sold in 10 months", not a full year.
- **No colour analysis.** The "Colour" column in the sales file is actually a **price band** (Premium/Medium/Economy), and the stock file has no colour at all — so we cannot analyse colours, only sizes.
- **Stock comes by transfer from head office** (the store made no direct purchases), so buying decisions are partly head-office's — treat the buying advice as the store's **indent** to HO.

8 • WHAT TO DO — BIGGEST PROFIT FIRST

Six moves

1 Cap the discount — never sell below cost

Set a firm ceiling of **36% off** for normal selling (that is the break-even). Plan the Dec–Feb clearance so it does not repeat January's 40%-off, ₹9 lakh loss. Discount deeper only on stock you have *decided* to dump, and count it as a clearance cost.

↳ **Biggest single lever — a 5-point cut in average discount ≈ ₹15 lakh a year.**

2 Fix the brand mix

Buy the big western brands (Allen Solly, Van Heusen, Louis Philippe, Arrow, Killer, Levis, Mufti) **more tightly and discount them less**. Give more space and stock to the high-margin stars — **FW, Jay Ambey, Plazer, Yes Mam, Citrus, Jockey**.

↳ **Same sales, far more profit; less cash tied in slow brands.**

3 Clear the aging stock

Run a planned exit for the **₹1.28 crore** that hasn't sold in 6+ months — led by old shirts, jeans, t-shirts, trousers, suits and blazers. Bundle, move to other KDPS stores, or clear within the 36% ceiling.

↳ **Frees cash and shelf space; lifts stock-turn from 0.7x upward.**

4 Buy the right mix, not more stock

Reorder the **1,184 fast items now out of stock** (t-shirts, shirts, jeans, kurti sets, tops). Shorten size buys — less men's L/XL depth, less women's XXL, more women's L and Free Size.

↳ **Recovers lost sales without adding to the overstock.**

5 Capture every customer, then use the list

Get the phone number on **every bill** (now only 67%). Send WhatsApp reminders to repeat and lapsed customers, and a small perk to the top 5% who bring a quarter of sales.

↳ **Near-zero cost; repeat customers already drive 63% of sales.**

6 Manage by a monthly dashboard

Track these every month: profit/loss, average discount, margin, stock-turn, dead-stock value, out-of-stock fast items, repeat-customer rate, and price-held by salesperson. These are exactly the numbers in this report.

↳ **Turns this one-time study into an everyday habit.**

How this was prepared. Built from three files: the FY 2025-26 sale report (Sheet1), the FY 2026-27 sale report, and the stock-on-hand as on 30 June 2026. Together the sales cover **Sep 2025 – Jun 2026**. Figures are computed directly from these files. Bill-level fields were filled down within each bill; shopping carry-bags and a stray total row were removed; brand codes (LP/LY/LR, VH/VS/VD, etc.) were merged; every sold item was matched to its cost in the stock file (100% match) to estimate margin and profit.

Honest caveats. Cost of goods and profit are estimates (the sales files carry no cost column); running costs use the 7%-of-sales + rent/power/misc formula provided. "Dead stock" means not sold in the 10 months of data, so fresh 2026 stock will correctly look unsold and is shown separately by age. A true conversion rate needs footfall data, which does not exist here. Rupee impacts in the action plan size the opportunity; they are not guarantees.